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Case AT.40437 – Apple – App Store Practices (music streaming)

Case Background

- The allegation made in this case concerns harm to consumers due to unfair trading conditions imposed by Apple on developers of music streaming apps, which prevents them from informing iOS users about available options and exercising informed choice. (Page 19)
- The companies involved in the allegations are Apple Inc. and its subsidiary, Apple Distribution International Limited. (Page 21)
- The case was initiated with the Statement of Objections in 2021, with a subsequent Statement of Objections issued in 2023. (Page 21)
- The violation pertains to a single and continuous infringement of competition rules, specifically Article 102 of the Treaty and Article 54 of the EEA Agreement. This infringement was conducted through practices that restricted music streaming app developers from communicating effectively with users, thereby limiting competition and consumer choice in the market. (Page 24)

Case Progression

- **Case Initiation** → [CASE_ID]: The case was initiated following a complaint from Spotify regarding Apple's App Store practices, particularly concerning music streaming apps. This set the stage for a detailed examination of Apple's conduct in the digital market. (Page 9)
- **Preliminary Investigation:** The Commission conducted a preliminary investigation to assess the validity of the complaint. This involved gathering initial evidence regarding Apple's market behavior and its agreements with app developers. The investigation found sufficient evidence to proceed, as Apple's practices were deemed to have an appreciable effect on trade between Member States. (Pages 842–846)
- **Statement of Objections issued:** A Statement of Objections was issued, outlining the Commission's concerns regarding Apple's Anti-Steering Provisions and their implications for competition. This document served as a formal notification to Apple of the alleged infringements. (Page 850)
- **Defense Phase:** Apple was given the opportunity to respond in writing and participate in an oral hearing. During this phase, Apple argued against the allegations, claiming procedural shortcomings and delays in the investigation. The Commission assessed these arguments but found them unsubstantiated. (Pages 851–852)
- **Commission Decision:** The Commission concluded that Apple had committed a single and continuous infringement of competition rules, resulting in a fine of EUR 34,154,000. The

decision emphasized the ongoing nature of the infringement and the lack of corrective actions from Apple. (Pages 943–943)

- **Company decides:** Following the decision, Apple has the option to accept the fine and pay or to appeal the decision. The outcome of this decision will determine the next steps, including potential litigation in the General Court or the CJEU if Apple chooses to contest the ruling. (Page 940)

Market Definition

- The market considered in this case was specifically the provision of music streaming services, which was defined as distinct from physical distribution of music and music downloading services. (Page 157)
- The Commission's market investigation indicated significant differences in demand-side and supply-side perspectives between music streaming services and other forms of music distribution. (Page 157)
- The analysis excluded physical sales of music and music downloading services to focus solely on music streaming services. (Page 157)
- The Commission defined the market for music streaming services as EEA-wide, acknowledging variations in prices and music tastes across the EEA but maintaining a unified market perspective. (Page 157)
- Apple did not contest this market definition in its responses to the Commission's inquiries, indicating acceptance of the defined market scope. (Page 157)
- The assessment of dominance within this market involved evaluating factors such as market share, barriers to entry, and the ability of the undertaking to act independently of competitors and consumers. (Page 158)
- The Commission considered both economic strength and the potential for the dominant position to impair competition, emphasizing the responsibility of dominant undertakings to avoid practices that harm competition and consumers. (Page 158)

Legal & Economic Tests

- **Dominance Assessment:** The legal test for determining dominance involves evaluating whether an undertaking holds a position of economic strength that allows it to act independently of competitors and consumers. This includes analyzing market share, barriers to entry, and the ability to influence market conditions. In this case, the Commission examined Apple's market share in the music streaming services sector and considered factors such as switching costs and countervailing buyer power to assess its dominant position (Pages 157–159).
- **Abuse of Dominance:** The economic test for abuse of dominance focuses on whether the conduct of the dominant undertaking impairs competition or harms consumers. This includes evaluating practices that may exploit the dominant position without necessarily